EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Ballesteros was created on December 18, 1911 thru Executive Order No. 79 and was inaugurated on January 01, 1912. It was named after Father Gregorio Ballesteros, a Filipino priest. The Municipality of Ballesteros is committed to serve its constituents with the mission to attain peace, unity, and progress through effective and efficient local government operation and administration that will redound to the sustained delivery of basic services to the people.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Ballesteros for CY 2025 and was aimed at determining whether Management presented fairly the Financial Statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Ballesteros, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Financial Position			
Assets	433,663,318.59	404,836,231.62	28,827,086.97
Liabilities	86,263,195.99	70,218,292.50	16,044,903.49
Government Equity	347,400,122.60	334,617,939.12	12,782,183.48
Financial Performance			
Income	202,037,512.04	174,113,508.33	27,924,003.71
Expense	185,715,792.72	172,468,136.15	13,247,656.57
Net Income	16,321,719.32	1,645,372.18	14,676,347.14

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount
Improvement/Rehabilitation of Ballesteros Sports Complex	₱ 196,462.00
Other Expenses Relative to Solid Waste Management	297,929.11
Concreting of Various Roads (Fugu, Zitanga, Centro East, Palloc and Nararagan)	19,961,054.23
Improvement/Rehabilitation of Various Roads (Fugu-Nararagan, Payagan West, and Centro East)	2,985,014.90
Improvement/Rehabilitation of Various Roads (Zitanga and Fugu, Payagan West and Payagan East, Mabuttal West and Centro East, Centro East and Cabaritan West)	6,923,280.20
Concreting of Various Roads (Palloc, Sta. Cruz, Centro East, Mabuttal West, Nararagan, Payagan East and Fugu)	14,939,159.10
Total	**₱ 45,106,437.54**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Ballesteros, Cagayan for the year ended December 31, 2025 due to the following:

1. The accuracy and reliability of the reported balance of Property, Plant and Equipment (PPE) account amounting to ₱261,812,400.13 as at December 31, 2025 cannot be determined due to: (a) non-submission of the Report on the Physical Count of PPE and Report on the Physical Count of Road Network System; and (b) non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular No. 2020-006 dated January 31, 2020, COA Circular No. 2015-008 dated November 23, 2015 and Sections 114 and 124 of the Manual on the New Government Accounting System (MNGAS) for Local Government Units (LGUs), Volume I, thus, affecting the fair presentation of the Municipality's Financial Statements.

2. The accuracy and reliability of the Cash in Bank-Local Currency, Current Account (CIB-LCCA) amounting to ₱128,390,951.24 as at December 31, 2025 cannot be established due to: (a) unadjusted stale checks; (b) delayed recording of book reconciling items; (c) non-preparation of bank reconciliation statements for four (4) cash in bank accounts with book balance amounting to ₱116,479.93; and (d) non-preparation of the report on unreleased checks as at December 31, 2025, contrary to International Public Sector Accounting Standards (IPSAS) 1 and Section 112 of Presidential Decree (PD) No. 1445, thereby, the cash accounts may not be fairly presented in the Financial Statements.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Of the available appropriations for the CY 2025 Local Disaster Risk Reduction and Management Fund (LDRRMF) amounting to ₱26,632,328.55, the Municipality disbursed a total of ₱7,053.520.50 or 26.48% utilization as at December 31, 2025 in response to its disaster needs. However, several programs/projects/activities under the current year appropriation, continuing appropriations and from the funds received from other LGUs and other sources in previous years, were not implemented during the year. As a result, the corresponding funds remained idle and the purposes for which they were intended were not fully achieved.

   We recommended that the Local Chief Executive enjoin the Municipal Disaster Risk Reduction and Management (DRRM) Officer and other concerned implementing offices to ensure the full and timely utilization of the LDRRMF and implement all budgeted projects identified in its Local Disaster Risk Reduction and Management Investment Plan (LDRRMIP). Moreover, we recommended that the funds from other LGUs and other sources received in previous years be utilized in accordance with the Memoranda of Agreement.

2. The existence and accuracy of the Biological Assets account amounting to ₱1,769,490.00 cannot be relied upon due to the (a) continued recognition of breeding stocks in the Financial Statements despite their non-existence, (b) non-maintenance of Property Cards and Ledger Cards for Biological Assets, as prescribed in Section 114 of the MNGAS for LGUs; and (c) non-compliance with the required procedures on the filing of notice of loss and application for relief from property accountability, contrary to the provisions of the Rules and Regulations on Supply and Property Management in LGUs and COA-Department of Budget and Management (DBM) Joint Circular No. 2024-1, thereby, casting doubt on the fair presentation of the said account in the Financial Statement.

   We recommended that the Management undertake the following:

   a. The General Services Officer (GSO) to comply with the appropriate disposal procedures and documentation provided in the Rules and Regulations on Supply and Property Management in the Local Governments and require the accountable persons to file a request for relief from property accountability to the Audit Team; and

   b. The GSO to establish and maintain Property Cards for all assets under their custody, including animals, in accordance with Sections 114 and 124 of the MNGAS for LGUs. These records must be regularly updated to reflect

acquisitions, disposals and losses, ensuring reconciliation with the Accounting Unit's ledger.

3. The implementation of programs/ projects/ activities (PPAs) under the 20% Development Fund for current and continuing appropriations resulted in the unutilized amount of ₱25,917,909.59. Of which, six (6) PPAs with total appropriation amounting to ₱11,407,288.00 million remained unimplemented by the Municipality as at December 31, 2025, which is not in accordance with DBM-Department of Finance (DOF)-Department of the Interior and Local Government (DILG) Joint Memorandum Circular No. 2020-1 dated November 4, 2020, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

   We recommended that the Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund.

   We also recommended that the Municipal Planning and Development Officer monitor regularly the implementation of the 20% Development Plan, including continuing appropriations, and closely coordinate with the concerned departments in the implementation of these projects, in order for the Municipality to fully achieve the desired socio-economic targets and outcomes.

4. The incomplete accomplishment of Driver's Trip Tickets, as well as the failure to require Gas Slips or Requisition and Issue Vouchers, hindered the proper evaluation of fuel consumption for government motor vehicles and equipment. This practice not only compromised the Municipality's efforts to promote efficient fuel use and asset management but also contrary to COA Circular No. 77-61 dated September 26, 1977. Moreover, the required Monthly Reports of Fuel Consumption were not submitted to the Audit Team, hence, the validity and reasonableness of fuel consumption, totaling to ₱1,553,736.00 from January to June 2025, could not be properly established.

   We recommended that the General Services Office ensure that:

   a. A complete and properly accomplished Driver's Trip Ticket is presented prior to the use of government vehicle for official business;

   b. An approved Requisition and Issue Voucher or a gas slip is issued before refueling of government motor vehicle or equipment; and

   c. The Monthly Report of Fuel Consumption are submitted to the Audit Team for verification in compliance with COA Circular No. 77-61 dated September 26, 1977.

5. The non-accrual of the accumulated earned and unused leave credits of permanent, casual and elective government personnel as at December 31, 2025 resulted in the

understatement of Leave Benefits Payable and Terminal Leave Benefits and the overstatement of Government Equity, contrary to IPSAS 1, IPSAS 39 and COA Circular No. 2024-009 dated July 16, 2024, thereby, affecting the fair presentation of the Financial Statements.

We recommended that the General Services Office ensure that:

a. The Human Resource Management Officer (HRMO)-Designate to submit to the Municipal Accountant a year-end report of the earned and unused leave credits of all permanent, casual and elective government personnel of the Municipality;

b. The Municipal Budget Officer to provide for the inclusion, in the Municipality's Annual Budget of the amounts necessary to cover the payment of earned and unused leave credits of all permanent, casual, and elective government employees, and to ensure the proper authorization and appropriation thereof; and

c. The Municipal Accountant to recognize and accrue, at year-end, the earned and unused leave credits based on the report submitted by the Human Resources Office to ensure that the Leave Benefits Payable and Government Equity accounts are fairly stated and that leave benefits transactions are recorded in the proper accounting period, in accordance with COA Circular No. 2015-009 dated December 1, 2015.

G. Summary of Total Suspensions, Disallowances, and Charges as at December 31, 2025

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	116,827.68	-	-	116,827.68	-
Current Year	-	-	-	-	-
Total	**116,827.68**	**-**	**-**	**116,827.68**	**-**
Disallowances					
Prior Years	474,835.27	**-**	**-**	474,835.27	-
Current Year	**-**	**-**	**-**	**-**	-
Total	**474,835.27**	**-**	**-**	**474,835.27**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the thirty-four (34) audit recommendations embodied in the CY 2024 Annual Audit Report, fourteen (14) were fully implemented and twenty (20) were not implemented.